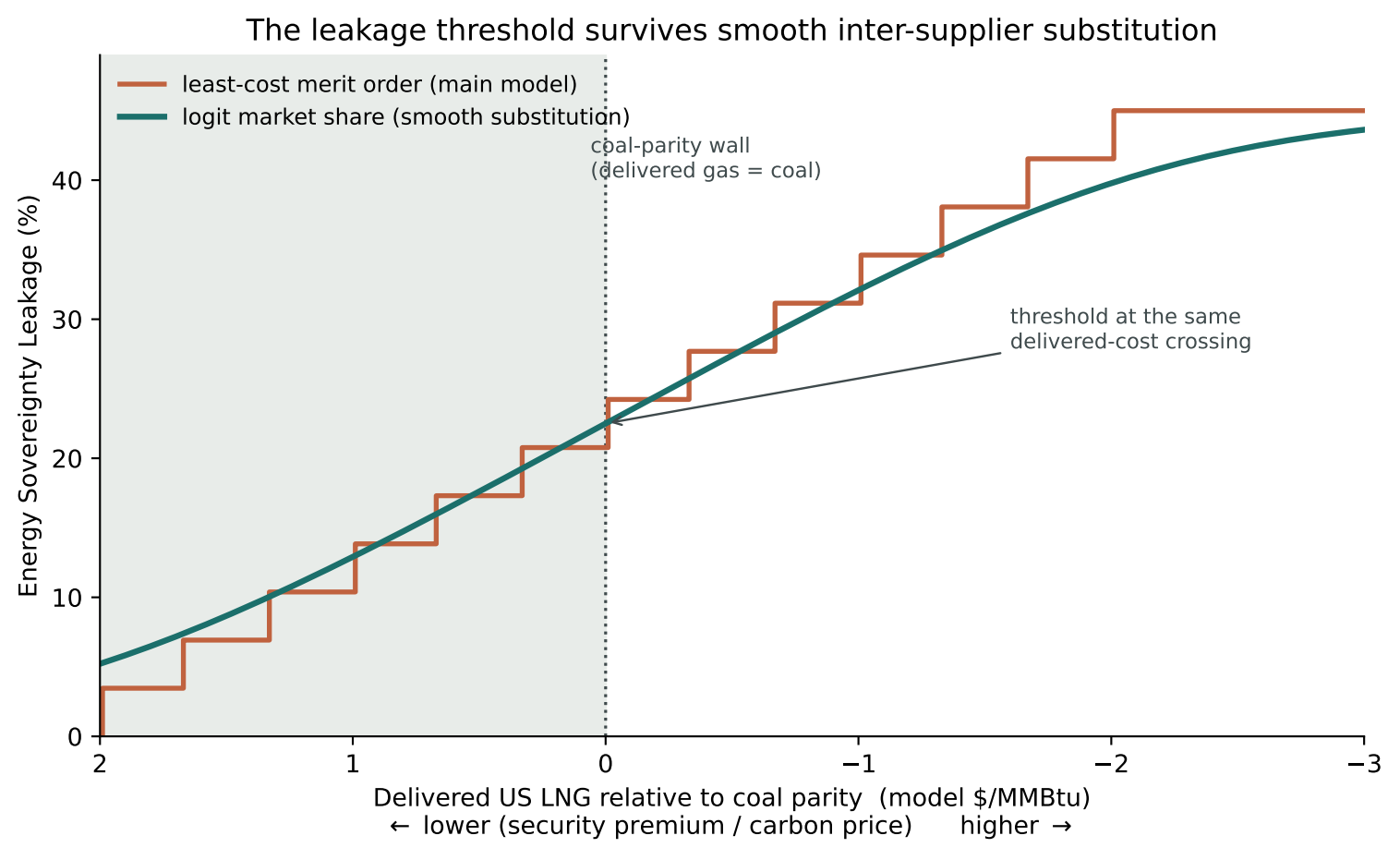
The leakage threshold survives smooth inter-supplier substitution
least-cost merit order (main model)
logit market share (smooth substitution)
coal-parity wall
(delivered gas = coal)
threshold at the same
delivered-cost crossing
Energy Sovereignty Leakage (%)
0
10
20
30
40
2
1
0
−1
−2
−3
Delivered US LNG relative to coal parity (model $/MMBtu)
← lower (security premium / carbon price) higher →